

Turkey: Simsek likely to exit scandal stronger

送信者: EG Middle East & North Africa 受信日時: 2026-10-08 19:28

【メール原文】

Simsek, who has become nearly synonymous with Turkey's return to economic orthodoxy, is likely to stay. His return as finance minister in 2023 marked |||

Turkey

Customize Email Preferences

Turkey's finance minister likely to emerge stronger from scandal

8 Oct 2026 06:26 EDT Discover more on the Portal

Short-term trajectory:

Long-term trajectory:

*

Despite speculation about his future following a \$100 billion stock-market selloff tied to an investment-fund scandal, Mehmet Simsek's position as the figure who has steered Turkey's return to market-friendly economic policy is secure.

*

Dogged by weak public approval and business-community criticism, Simsek could emerge from the turmoil strengthened.

*

An abrupt policy break is unlikely, with Vice President Cevdet Yilmaz providing an important backstop and President Recep Tayyip Erdogan continuing to back Simsek.

Simsek, who has become nearly synonymous with Turkey's return to economic orthodoxy, is likely to stay. His return as finance minister in 2023 marked a decisive break with the negative real interest rates pursued amid runaway inflation after the 2021 removal of market-respected policymakers Naci Agbal and Lutfi Elvan, an episode from which Turkey has yet to fully recover. A former investment banker and veteran cabinet minister, Simsek has led that recovery and is the primary anchor of investor confidence.

The economic turnaround has come at a steep political cost. Since his appointment, inflation has more than halved, foreign-exchange reserves have been rebuilt, and Turkey's sovereign risk premium has fallen. Restoring stability—through high interest rates, tight credit, and fiscal restraint—imposed costs on households and businesses, leaving Simsek with many detractors. Questions about Simsek's future intensified with the collapse of a speculative fund bubble that wiped nearly \$100 billion from Borsa Istanbul.

Erdogan has already absorbed the political cost of backing Simsek. That leaves the president little reason to drop him now that Simsek's standing is improving. Though Simsek will be an obvious target for those who lose money or influence, their pressure is unlikely to prove decisive. Simsek was already unpopular before the scandal, with a sizable contingent clamoring for his removal. Erdogan has

nonetheless stood behind him and continues to give him latitude for politically difficult choices including the recent phase-out of the sliding-scale fuel subsidy shielding consumers from the oil-price shock. With the recovery incomplete, replacing Simsek before benefits emerge would mean bearing much of the cost while foregoing the payoff.

Simsek is not only secure but is likely to emerge stronger from the turmoil. The scandal has exposed an extensive rot within Turkey's ruling elite, already sweeping up a presidential adviser, a former minister, a former central bank vice-governor, and a former party vice-chair. Given the crisis's breadth, these excesses will likely extend well beyond those publicly implicated and Erdogan appears set on a house-cleaning, even if much occurs behind closed doors. Simsek—who repeatedly warned about speculative excesses—is one of the few coming out on the right side of the reckoning. He has been receiving positive coverage even from previously critical media. Internationally, his regulatory cleanup, coupled with limited contagion beyond equities, should reinforce his credibility. Positive guidance on November 11 from global index provider MSCI, whose concerns helped set the correction in motion, would further vindicate Simsek and bolster his standing.

The absence of a clean successor works to Simsek's advantage. Simsek combines qualities few successors could match: an experienced operator but not a conventional party politician; firmly within the Erdogan fold, unlike former colleague Ali Babacan, who left to form an opposition party; trusted by international investors; and untarnished by scandal. No obvious successor offers a comparable combination. Even a credentialed and well-pedigreed technocrat such as Central Bank Governor Fatih Karahan would face a difficult transition, lacking Simsek's political experience and accumulated latitude to navigate party patronage demands, public fatigue with inflation, and business pressure over tight credit. Recent experience also weighs against an outsider, with the short-lived tenure of Karahan's predecessor, former US banking executive Hafize Gaye Erkan, a case in point. The safest replacement would likely come from the top leadership team, but this creates a cascading problem: anyone with the stature to succeed Simsek would leave another difficult vacancy behind.

Vice President Cevdet Yilmaz is a key ally that bears watching. A former development minister and career public servant, Yilmaz is an experienced operator with influence across the economic bureaucracy and governing party. He oversees a broad portfolio, enjoys presidential access and, as chair of the Economic Coordination Board, coordinates much of the economic team. Recently, he was also entrusted with the unwinding of troubled funds.

Though lacking Simsek's stature among international investors, Yilmaz is a guardrail against the policy rupture that markets rely on Simsek to prevent. If Simsek is ultimately deemed a liability, particularly in the lead-up to an election, one likely option would be for the two to switch roles, giving Yilmaz formal control of the finance portfolio while moving Simsek into a role that is less politically exposed and more internationally visible. The two are known to have a collegial relationship, which would ease such a reshuffle. Whether Simsek stays put or changes roles, the direction of economic policy is likely secure.

Neil Weller
Director, Fixed Income Strategist
weller@eurasiagroup.net
Farzan Sabet

Senior Analyst & Practice Manager, Middle East & North Africa
sabet.ne@eurasiagroup.net
EG Middle East & North Africa
mena@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmuzc07mb1p7x07n0evwo5gyq

[Opt Out](#) | [Customize Email Preferences](#)